

market, and adjust again for the specifics of the location you choose within that market.

A home in a fast-growing city, next to a popular park and high-end grocery stores, in a great school district, that is also the worst home on its block is likely to experience a wonderful appreciation rate. It's much better off than the nicest home on the block, in a stagnating market, near seedy commercial retail, with a school district that would make Ferris Bueller cry. In one case, the buyer might reasonably assume a 4 to 5 percent long-term annual appreciation rate. In the other, they might assume a more modest 1 to 2 percent appreciation rate.

The buyer shouldn't rely on appreciation in either case, since the economy could tank tomorrow and leave them with reduced property values. They should position themselves to potentially recognize appreciation by buying the right property, but the appreciation itself is just icing on the cake.

FORCED APPRECIATION

Though market ups and downs typically come to mind when you hear the word "appreciation", there's another—and much more predictable—type of appreciation that can impact the value of your home.

Simply put, an updated home will be worth more than an outdated one. A home with more bathrooms is worth more than one with fewer bathrooms. A home that smells like the inside of a litter box will be worth more once that scent is gone. Unwanted features can cause a property to sit unsold for a long time—and the longer it sits, the more it looks like there's something horribly wrong with the house itself.

However, all these issues have one thing in common: They are completely within your ability to change—that is, if you buy the right house.

Let's hark back to Alex and Shelby from the introduction. They bought a beautiful, updated home that didn't need an ounce of work, hence the painfully high price. There were no weird smells or unfinished basement spaces, and the kitchen was pretty as can be.